

We can further use PCRs (Put Call Ratio) to plot points in a graphical representation to understand the trend of the put-call ratio in the market. We can use this graph to visually understand the sentiment in the market in the recent past. We can even understand the current sentiments in the market.



We can use the Put-call ratio for individual stocks and sectors as well. Put Call ratios are not a good indicator where overall trading volumes are low for the asset. This is because few trades can change the PCR but not really impact the market sentiment. As a result, this should only be used on Indices and large cap stocks.